Palm Haven: Findings and Recommendation

Oct 6, 2026

Summary

The best-supported explanation for the loss of guests is inconsistent service across departments, not the buildings, the equipment or the price. We recommend fixing complaint handling, service standards and guest feedback first, and pausing the ₦1.8bn refurbishment until the result shows whether those fixes work.

Guests are unhappy at every property and in every guest group. In the 200-guest survey, 73.5% were dissatisfied, 71% said they would not return and 55% would not recommend Palm Haven. Maintenance problems, cheaper rates elsewhere and service inconsistency did not separate the guests who would leave from those who would stay. The 10,000 stay records show the same pattern: the repeat rate is about 72% whether or not a guest had a maintenance complaint. This is a working hypothesis to test, not a proven cause.

About the survey

We analyzed 200 guest responses covering satisfaction, maintenance issues, rate, service consistency, likelihood to return and recommend, and what guests want fixed. The survey was analyzed on its own and was not merged with the 10,000 stay records.

Property	**Guests**
Victoria Island	64
Abuja	61
Calabar	30
Ikeja	24
Benin City	21
Guest Type	**Guests**
Government / NGO	84
Corporate / business travelers	50
Event guest	35
Leisure travelers	31

The first five rows are properties and the last four are guest types; each set adds up to 200. Calabar, Ikeja and Benin City have 30 guests or fewer, so their results can swing a lot with a few answers. The survey shows what guests say they intend to do, not what they actually did.

Key findings from the survey dashboard

The survey does not show maintenance issues driving guests away. Unhappiness and inconsistent service are widespread, whether or not a guest had a problem.

- **Most guests are unhappy.** 73.5% were dissatisfied (average 2.19 out of 5), 71% would not return and 55% would not recommend Palm Haven.
- **Maintenance does not separate leavers from stayers.** 61.5% of guests (123) had a maintenance issue, but the share who would not return was 74.0% with no issue, 69.3% when the issue was fixed and 68.2% when it was not fixed. Only 22 guests (11%) had an unfixed issue, so that group is small.
- **Service is inconsistent everywhere.** 75.5% rated service inconsistent, and every property sits between 71% and 79%.
- **Properties differ, but the groups are small.** Ikeja has the lowest satisfaction (1.83, with 83.3% dissatisfied). Victoria Island has the highest share who would not return (78.1%). Calabar has the most guests who found a cheaper rate (43.3%). Benin City has the most maintenance issues (71.4%). Abuja has the most service inconsistency (78.7%)
- **Corporate guests are not safer.** Of 50 corporate guests, 70% were dissatisfied, 72% would not return, 52% would not recommend and 46% found a cheaper rate.
- **Price is a smaller issue.** 36.5% of guests found a cheaper rate, which is well below the share who are dissatisfied.
- **Guests ask for reliable, simple, clear service.** The three "fix this" themes were almost tied: reliable service and clear communication (68), predictable and informed with no repeating (66) and a simpler, faster process (66).

What the analysis showed

None of the factors we tested predicted who would leave: guests with a maintenance issue were no more likely to say they would not return (69%) than guests without one (74%).

Factor	Would not return, with it	Would not return, without it
Had a maintenance issue (123 vs 77 guests)	69%	74%
Issue not fixed (22 vs 178 guests)	68%	71%
Found a cheaper rate elsewhere (73 vs 127 guests)	70%	72%
Rated service inconsistent (151 vs 49 guests)	71%	71%
Dissatisfied with the stay (147 vs 53 guests)	70%	74%

The problems are spread widely, with some differences by property and guest group:

- **Ikeja:** lowest satisfaction (1.83 out of 5) and the most unfixed issues (21% of guests), but only 24 guests.
- **Victoria Island:** highest share who would not return (78%), with the fewest unfixed issues (3%).
- **Abuja:** most inconsistent service (79%). Abuja and Victoria Island are 62% of respondents and 66% of guests who would not return.
- **Government/NGO guests:** most dissatisfied (83%) and the largest group (84 guests).
- **Leisure guests:** most likely to say they would not return (77%), despite being the least dissatisfied (55%).
- **Corporate guests:** most likely to have found a cheaper rate elsewhere (46%, against 23% to 40% for other groups).

Comparison with the 10,000 stay records

The stay records show the same pattern as the survey: nothing we can measure separates guests who return from guests who do not. The figures below come from the Team 4 analysis of the 10,000-stay sample (January 2025 to January 2026).

Group	Stays	Repeat rate	Avg satisfaction (out of 5)
No maintenance complaint	1,956	71.7%	2.99
Complaint, resolved in the stay	5,798	71.8%	3.01
Complaint, not resolved	2,246	72.3%	3.00
Corporate account	3,465	71.8%	3.01
No corporate account	6,535	71.9%	3.00
Booked through Booking.com	2,456	71.6%	2.99
Booked direct	2,572	72.0%	3.02

The two sources compare as follows:

	10,000 stay records	200-guest survey
What it measures	What guests did: stays, complaints, repeat bookings	What guests say: opinions and intentions
Size	10,000 stays (January 2025 to January 2026)	200 guests

	10,000 stay records	200-guest survey
Coverage	Five properties, four booking channels, Business, Leisure and Family guests	Five properties, four guest types: Corporate, Government/NGO, Event and Leisure
Return or repeat	71.9% repeat	71% say they would not return
Satisfaction (out of 5)	3.0	2.19
Maintenance	80.4% of stays have a complaint	61.5% had an issue
Main result	Repeat rate varies by under 3 points across every group	No factor separates leavers from stayers
Main weakness	Results look unusually uniform and some fields look filled in by default	Small groups, and stated intentions only
Analyzed in	Excel dashboard	Power BI dashboard

Where the two sources agree:

- **Maintenance does not separate leavers from returners.** The repeat rate is about 72% with or without a complaint, and whether or not the complaint was resolved.
- **No property stands out.** Repeat rate runs from 70.2% (Benin City) to 72.9% (Calabar).
- **Satisfaction does not predict returning.** The repeat rate is 72.5% for stays scored 2 or below and 71.6% for stays scored above 3.

Where they differ:

- **Behaviour against opinion.** The stay records show what guests did (72% repeat). The survey shows what they say (71% would not return). These are different measures, so do not read them as a match or a contradiction.
- **Complaints.** 80% of stays have a recorded complaint and 72% of those were resolved in the stay. In the survey, 62% of guests had an issue and 82% of those were fixed.
- **Satisfaction level.** The average is 3.0 out of 5 in the stay records, 2.19 in the survey and 3.6 in the business case.
- **Price.** 36.5% of surveyed guests say they found a cheaper rate elsewhere. The survey does not say which channel.
- **Corporate.** Corporate-account stays repeat at 71.8%, the same as other stays. This is a repeat rate, not contract renewal. In the survey, 72% of corporate guests would not return.
- **Guest groups.** The stay records use Business, Leisure and Family. The survey uses Corporate, Government/NGO, Leisure and Event, so the groups cannot be matched.

Why we think it is a service experience problem

Guests ask for better handling of their stay, not a better building, and the case documents describe the same gaps.

When asked the one thing to fix, 200 guests gave answers that fall into three equal themes. None mentioned rooms or equipment.

- Reliable service and clear communication: 68 guests
- A simpler, faster, easier process: 66 guests
- Predictability, being kept informed and not having to repeat themselves: 66 guests

The case documents describe gaps that match these requests:

- Rooms hands maintenance issues to Engineering by phone or radio.
- Front-desk complaints are not recorded in the guest profile, and complaint and feedback data are not shared with Sales before corporate renewals.
- Only 11% of guests answer the post-stay survey, and repeat rate and satisfaction are not reported by property or issue type.
- The internal audit found preventive maintenance not completed at two properties, compensation approved without documented justification in 18 sampled cases, and rate parity not monitored.

The 2023 Ikeja refurbishment (₦420m) raised satisfaction from 3.8 to 4.1 for two quarters, then it fell back to 3.7 within a year. The official review said the gain faded because maintenance discipline never changed. That supports fixing how the work is managed before spending on the building.

Recommended solution

We recommend six low-capital steps, in this order, before any refurbishment.

1. **Fix complaint handling.** Keep one shared log of complaints and maintenance requests, linked to the guest profile, and track the standards already in place: acknowledge within 15 minutes, resolve within 24 hours, escalate to the General Manager. Replace the phone and radio handover to Engineering with a simple work-order system.
2. **Standardize service across the five properties.** Set common check-in and guest-communication standards, so guests are told what is happening and never have to repeat themselves.
3. **Close the feedback loop.** Shorten the survey and offer more than email to lift the 11% response rate. Report repeat rate and satisfaction by property and issue type every month, and review each corporate account's experience before its renewal.
4. **Restore preventive maintenance discipline** at the properties where it lapsed, and check completion every quarter. The cost is small next to ₦1.8bn.
5. **Enforce rate parity** between OTA and direct channels, with monitoring. It is not the main driver, but 46% of corporate guests found a cheaper rate.
6. **Pause the ₦1.8bn refurbishment** and pilot steps 1 to 3 at one or two properties first. Approve capital spending only if the pilot leaves a gap that the building explains.

Owners and timings are our suggestions for management to confirm.

Step	Suggested owner	Suggested timing
1. Fix complaint handling	General Manager, with Front Office and Engineering	Start in month 1
2. Standardize service	Rooms and Front Office heads	Months 1 to 3
3. Close the feedback loop	Guest experience and Sales	Months 1 to 3
4. Restore preventive maintenance	Chief Engineer	Months 1 to 3, then checked every quarter
5. Enforce rate parity	Revenue and commercial team	Months 2 to 4
6. Pause refurbishment and pilot steps 1 to 3	Executive management	Pilot for about 6 months, then review

What could happen over three years

Four paths are open to management. They are directions based on our data, not forecasts.

Path	What management does	Likely result in three years	Cost	How sure we are
1. Do nothing	Keep current processes, no refurbishment	Service stays inconsistent and complaints stay unrecorded. With 55% of surveyed guests unwilling to recommend, the repeat rate (already down from 41% to 26%) and corporate retention (71% against 88%) are likely to keep sliding.	No new spend, but revenue keeps leaking	Medium: the direction is clear, the size is not
2. Fix one part: refurbish only	Spend ₦1.8bn on the buildings and leave complaint handling and maintenance management as they are	A short boost that then fades. At Ikeja in 2023, satisfaction rose from 3.8 to 4.1 for two quarters and was back to 3.7 within a year.	₦1.8bn	Medium to high: it repeats a real precedent
3. Best-supported path	Steps 1 to 5, piloted at one or two properties first. Decide on capital	Gradual recovery toward the targets (41% repeat, 88% corporate	Low next to ₦1.8bn.	Medium: it follows from our data but is untested

Path	What management does	Likely result in three years	Cost	How sure we are
	spending only from the pilot result	retention, 4.3 satisfaction) if the pilot works. Refurbish later only where a gap remains.		
4. Do everything at once	Refurbish and overhaul service together across the business	Probably the largest improvement, but our data does not link the buildings to guests leaving, so most of the ₦1.8bn may add little.	Highest: ₦1.8bn plus program costs	Low to medium: depends on whether the buildings matter

The opposite mistake also exists: fixing service but letting preventive maintenance lapse again would leave the equipment problems the audit found.

Financial Evidence

The simulator's financial evidence gives us two figures to size the problem: ₦340m a year of revenue lost from the two corporate accounts, and ₦186m a year of extra guest acquisition cost from the fall in repeat guests. Together that is ₦526m a year. Over three years at the 16% discount rate from the financial policy, and assuming the loss stays flat, it is worth about ₦1.18bn today (₦1.58bn before discounting).

This gives a break-even test. A fix pays for itself if the loss it wins back, over three years, is worth more than it costs.

Share of the ₦526m yearly loss won back	Value over three years (today's money)	Example: result if the fix costs ₦500m
25%	₦295m	Loses ₦205m
50%	₦591m	Gains ₦91m
75%	₦886m	Gains ₦386m
100%	₦1.18bn	Gains ₦681m

What this means for the four paths:

- Path 2 (refurbish only) and path 4 (everything at once) cannot break even on this measure. A ₦1.8bn refurbishment costs more than the entire three-year value of the loss (₦1.18bn), even if every naira were won back. It would also fade, as Ikeja's ₦420m refurbishment did. A

refurbishment could bring other benefits, such as higher rates, that this evidence does not measure.

- Path 3 can break even at a modest recovery. Winning back half the loss is worth about ₦591m, so a pilot and rollout of steps 1 to 5 costing less than that pays for itself. The ₦840m of unallocated capital would cover it, but spending above ₦20m per property needs Board approval.
- Path 1 (do nothing) costs about ₦1.58bn over three years if the loss stays flat, and more if repeat guests keep falling.

These figures use only the simulator's estimates, cover only the two lost corporate accounts and the extra acquisition cost, and assume the loss does not change. We still do not know what steps 1 to 5 would cost, so path 3 is a test to apply once Finance gives that cost, not a promise.

How to measure success

Success means winning back the levels of 12 months ago on the three outcome measures, and building the baselines we do not yet have. The targets are proposals for management to confirm.

Measure	Today	Proposed target
Repeat booking rate	26%	Back to 41%
Corporate account retention	71%	Back to 88%
Post-stay satisfaction (out of 5)	3.6	Back to 4.3
Complaints resolved within 24 hours	72% resolved during the stay (24-hour rate not reported)	70%
Post-stay survey response rate	11%	50%

Limitations of each data set

Both sources show patterns, not causes, and each has weaknesses that limit how far the results can be pushed.

The 200-guest survey

- **Small groups.** Ikeja has 24 guests, Benin City 21, and only 22 guests had an unfixed issue. Our tests found no statistically significant differences between groups, so a smaller real effect could be missed.
- **Stated intentions, not behaviour.** "Would not return" is what guests say, not their actual repeat rate.

- **Who answered.** The company's post-stay survey has an 11% response rate, so respondents may not represent all guests.
- **More negative than the company's figures.** Average satisfaction is 2.19 out of 5 here, against 3.6 reported. Rely on comparisons between groups, not on the levels.
- **Missing fields.** There is no booking channel or date, so the survey cannot compare OTA with direct pricing or show change over time.

The 10,000 stay records

- **Satisfaction for every stay.** A score is recorded for all 10,000 stays, although only about 11% of guests normally answer the survey.
- **Fields that look filled in by default.** The "resolved" flag is filled even for stays with no complaint, and corporate account is spread almost evenly across booking channels. We treated a blank complaint as "no complaint" (1,956 stays).
- **Unusually uniform results.** Every group sits within about 3 points on repeat rate and about 0.1 on satisfaction. Real data is rarely this even, so the source should be checked before the results are relied on.
- **Differences from the business case.** Repeat rate is about 72% against 26% in the case, and the average nightly rate is about ₦134,000 against an ADR of ₦92,000.
- **Missing fields.** There is no field showing which two properties stopped equipment checks, and no contract renewal data, so true corporate account retention cannot be measured.

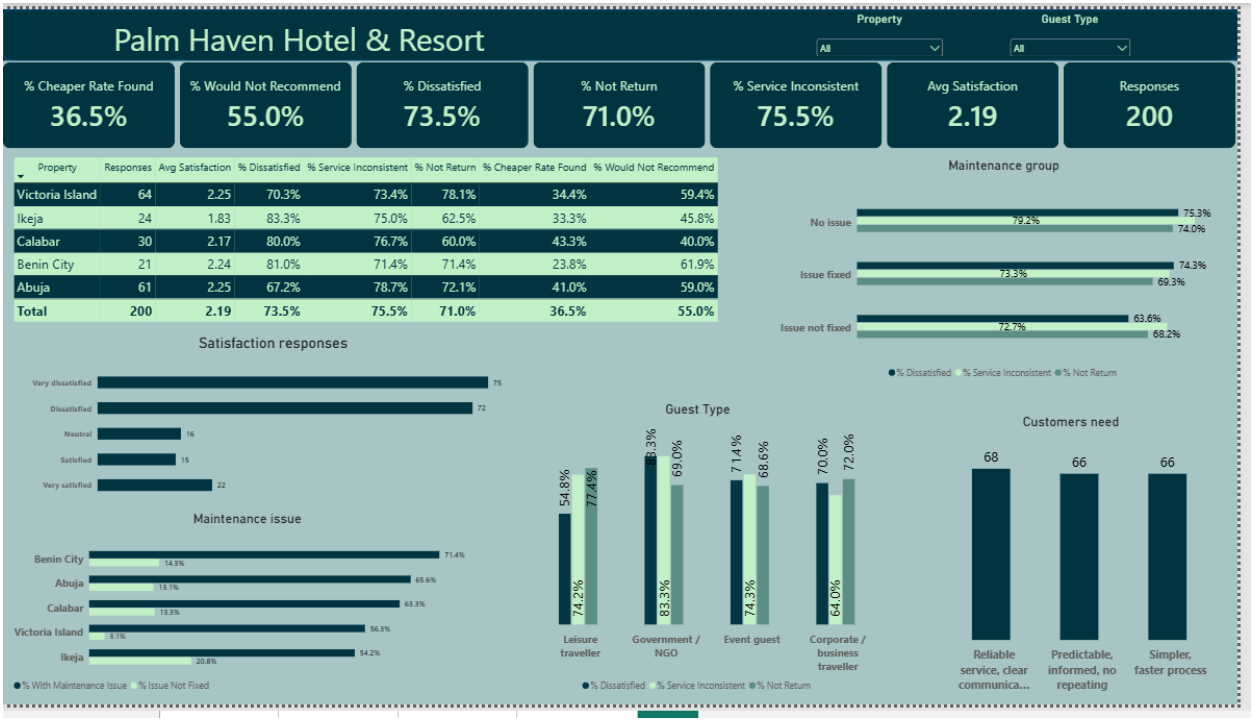
What we could not answer

- Which two properties stopped equipment checks, and whether their guests differ.
- True corporate account retention.
- Which booking channel the cheaper rate was found on.
- What the six steps would cost, and what one repeat booking is worth.
- What caused repeat rate to fall from 41% to 26%.

Definitions

- **Dissatisfied:** a score of 1 or 2 out of 5 on the satisfaction question (Very dissatisfied or Dissatisfied).
- **Service inconsistent:** a score of 1 or 2 out of 5 on the service consistency question.
- **Would not return:** a score of 1 or 2 out of 5 on the likelihood-to-return question.
- **Repeat rate (stay records):** the share of stays by guests flagged as repeat guests.
- **Maintenance issue not fixed:** the guest said the issue was not resolved.

200 survey dashboard



10,000 stay record dashboard

